

in the history of the U.S. stock price record. The ultimate resolution of this pattern will be an amazing crash.

If wave (5) in the DJTA ends above wave (3) by its full potential near the 2000 level, the Dow Industrials and the S&P Composite should rise to their higher trendlines (see Chapters 2 and 8). However, on rare occasions, the fifth wave of a diagonal triangle will barely match, or even fall short of, the high of the third wave. The most important observation from a targeting standpoint is that *if* the DJTA reaches the upper line in Figure 6-7 again (or bursts through it briefly in a throw-over), the probability that it has reached top tick for the bull market will rise to nearly 100%. From a practical standpoint, the level of the high is irrelevant to the overriding fact that the DJTA is in wave (5) of ⑤ of V of (V), and will end in a matter of months.

If the DJTA achieves a new high, many market watchers will identify that feat as *bullish* because it will produce a belated “Dow Theory confirmation.” According to Dow Theory, when Industrials and Transports are in new high ground together, a bull market is “confirmed.” Any such confirmation will almost certainly prove to be profoundly ironic in supporting bullish psychology a few percentage points from a major top and a violent reversal.

The Long Term Pattern

Figure 6-8 shows the best labeling for the Transports from the 1932 bottom. While less than ideal in places, this structure nevertheless follows the Wave Principle and produces an excellent parallel trend channel.

The line labeled “Alt.” shows that it is possible to label the entire correction from the 1929 peak into the 1940 low as a contracting triangle, as delineated by the dashed upper boundary line for those years. Because data is unavailable for the DJTA prior to the late 1800s, this fact is important. A triangle can occur only in the fourth wave position, meaning that a triangle here would have to be wave (IV). Thus, the bull market due to terminate in 1995 will end wave (V) of a Grand Supercycle, precisely fitting the long term interpretation for the Industrials. What’s more, by this interpretation, wave (V) will have lasted a Fibonacci 55 years, the originally expected duration of wave (V) in the Industrials!